Permitpath

Executive Summary: Permitpath

Problem

Small contractors lose a surprising amount of time and money to building permits. A typical remodeling or trade firm has between two and twenty employees, and the owner usually does the paperwork at night after a full day on site. Each city has its own application forms, its own online portal and its own checklist of required attachments, and many of the rules are not written down anywhere. A contractor who works in three or four cities has to learn three or four different systems.

The cost of getting it wrong is high. When an application is rejected, it goes back into the queue, and a correction can add one to four weeks. During that time crews sit idle, materials are stored, and customers become unhappy. In interviews with 41 contractors over the last year, 34 told us they had lost at least one job start date in the past six months because of a permit problem. Most said they track their open permits in a notebook, a spreadsheet or their email inbox, and several admitted they had missed a reviewer's request for changes because the notice went to a spam folder.

Solution

Permitpath is a desktop application that sits between the contractor and the city systems. The contractor enters a job once: the address, the scope of work, the licenses and insurance details, and the drawings. Permitpath then prepares the application for the chosen city, filling in the fields and flagging anything missing. Before submission it runs the application against a checklist built from that city's published requirements and from the reasons for rejection that our users have reported to us. After submission it tracks the status and sends reminders when a reviewer comments or a deadline is near.

The main difference from other tools is that Permitpath works across cities. Most existing products are built for one city or are sold to the city itself. We are built for the contractor, who is the person who actually feels the pain. We chose a desktop application because many of our users work with large drawing files and prefer to keep their client data on their own machines, and because it lets us work with several city portals without depending on any one of them to give us access.

Market

The United States has roughly 700,000 small construction firms with fewer than twenty employees. We focus first on residential remodelers and the electrical, plumbing and mechanical trades, which file the most permits relative to their size. If even one in ten of these firms paid us the price of our standard license, the market would be worth well over 100 million dollars a year. We do not need all of those firms. Our plan targets the 25 largest metropolitan areas, where contractors often cross city lines in a single week, and our first goal is 1,500 paying firms.

Business Model

Permitpath is sold as an annual license. Our standard plan costs 780 dollars per year for one user and up to five cities, and our team plan costs 1,800 dollars per year for up to five users and unlimited cities. We add new cities as paid expansions of a license only when a customer asks for one that is not yet supported. Our cost to serve a customer is low: the software runs on the customer's computer, and our main costs are the engineers who maintain the city connections and a small support team. We expect gross margin above 80 percent once we reach scale. We also plan a later add-on for suppliers and insurers, who want reliable data on permit status, but we are not relying on it in our forecast.

Competition

Our competitors fall into three groups. The first is general project management software for contractors, which is broad but does not know anything about the rules of a specific city. The second is the permit portals that cities operate, which are the system of record but are designed for the city's staff and not for the applicant. The third is permit expediting services, where a person is hired to file and follow up on applications. These services work well but cost several hundred dollars per application, which is too much for a small firm with many jobs. Permitpath offers some of the same benefit at a small fraction of the price. We think our strongest protection is the growing set of city-specific rules and rejection patterns that our software learns from its users, which would take a new entrant a long time to rebuild.

Team

Dana Okonkwo-Reyes, chief executive, studies business administration at our university. Before starting the company she spent three summers working for her uncle's remodeling firm, where she handled permits and first saw the problem. Marcus Veltrane, chief technology officer, is a computer science student who built the first prototype and leads our engineering. Priya Anandakrishnan, head of customer development, studies urban planning and previously interned in a city permitting office, which gives us a rare view of how reviewers actually read applications. We are advised by a retired building official and by a small business lawyer who has helped us with our contracts.

Milestones and Financials

Over the past year we defined the concept, built a working prototype and tested it with 12 pilot contractors in four cities. In the pilot, first-review rejections fell from about 38 percent of applications to about 14 percent, and the average time to approval fell by roughly nine days. Eight of the twelve pilot firms converted to paid annual licenses, and we now have 23 paying customers and about 19,000 dollars in annual recurring revenue. We have registered the company and launched a website that has produced most of our recent leads. We have also raised 60,000 dollars from a small group of angel investors and a regional startup grant, which we are using for development and for a part-time support hire. Our forecast is 120 customers and 95,000 dollars in recurring revenue by the end of next year, and 600 customers and about 470,000 dollars by the end of the year after. We expect to reach break-even at about 450 customers.

What We Ask For

We are applying for the competition's prize money and for mentoring. We would use a prize of 25,000 dollars to add support for eight more cities, which is the most common request from our waiting list, and to hire a second engineer for the summer. Beyond the money, we would value introductions to contractor associations and to local governments, since both groups influence which tools small firms trust. We would also welcome advice from experienced founders on pricing and on when to move from a desktop product to a hybrid product that includes a web component.